Instructions

All legislative references on this sheet refer to the Income Tax Act (the Act) unless otherwise specified.

Do you have to file this return?

Form T1134, Information Return Relating to Controlled and Non-Controlled Foreign Affiliates, must be filed annually by:

- a taxpayer resident in Canada (other than a taxpayer all of whose taxable income for the year is exempt from tax under Part I of the Act) for which a non-resident corporation or trust is a foreign affiliate (FA) or a controlled foreign affiliate (CFA) **at any time in the year**, and a partnership where:
  - the share of the income or loss of the partnership for the year of non-resident members is less than 90% of the income or loss of the partnership for the year; and
  - a non-resident corporation or trust would be a FA or CFA of the partnership **at any time in the year** if the partnership were a person resident in Canada.

Note
A trust that is deemed under paragraph 94(3)(a) of the Act to be resident in Canada for purposes of Part I (i.e., a non-resident discretionary trust) is also deemed to be so resident for the purpose of filing this return.

This return is to be filed by a reporting entity in respect of any: (i) foreign affiliate in which the reporting entity directly owns an interest (a "directly owned foreign affiliate"); and (ii) foreign affiliate in respect of which an interest is directly or indirectly owned by a directly owned foreign affiliate.

Reporting requirements for tracking interests

If you hold a tracking interest (as defined in subsection 95(8) of the Act) in respect of a foreign affiliate, please note the following in connection with your foreign affiliate reporting obligations:

1. Where the reporting entity is deemed to own shares of a separate corporation that is a controlled foreign affiliate because of subsection 95(11) of the Act

Where subsection 95(11) applies, you are required to file one T1134 Supplement in respect of each separate corporation in which the reporting entity is deemed to own shares. For each such separate corporation, you must also provide a separate set of unconsolidated financial statements that reflect the tracked property and activities as described in that provision, as well as the income, loss or gains in respect of such property and activities.

A separate T1134 Supplement must also be filed in respect of the actual affiliate, that is, unless it meets the conditions to be considered as "dormant" for purposes of T1134 filing; these conditions are detailed in the instructions below.

In completing the T1134 Supplement in respect of a separate corporation, you must provide information relevant to the determination of the amounts, if any, to be included under subsection 91(1) in respect of the separate corporation. This would typically require completing the following sections of the T1134 Supplement in respect of the separate corporation:

Part II
Section 1 – Foreign affiliate information:
A. Identification of foreign affiliate
B. Capital Stock of foreign affiliate

Section 2 – Financial information of the foreign affiliate

Part III – All questions

Information not relevant to the determination of amounts required to be included under subsection 91(1) in respect of the separate corporation need not be included on the T1134 Supplement in respect of the separate corporation. Instead, provide this information, as determined at the level of the actual affiliate, on the T1134 Supplement in respect of the actual affiliate.

2. Where the foreign affiliate is deemed to be a controlled foreign affiliate because of subsection 95(12) of the Act

Where subsection 95(12) applies, you are required to file one T1134 Supplement in respect of the affiliate on the basis that it is a controlled foreign affiliate.

Reporting requirements for lower-tier non-controlled foreign affiliate(s)

For non-controlled foreign affiliate(s) that are/were indirectly held through one or more non-controlled foreign affiliate(s) ("lower-tier non-controlled foreign affiliate"), you are only required to provide base level information as required in Part I Section 3. E. It is not necessary to file a separate Form T1134 Supplement in respect of a lower-tier non-controlled foreign affiliate.

Reporting requirements for foreign affiliates that are "dormant" or "inactive"

Do not file Form T1134 Supplement in respect of a foreign affiliate if the total cost amount to the reporting person at any time in the year of the interest in that foreign affiliate was less than **CAN**$100,000 **AND** that foreign affiliate is "dormant' or "inactive" for the affiliate's taxation year ending in your taxation year. Instead, you are only required to provide base level information as required in Part I Section 3. D. To be considered "dormant" or "inactive", the Canadian dollar (CAN) thresholds noted below must be met regardless of functional currency election made. For purposes of completing Form T1134, a dormant or inactive foreign affiliate means, for a taxation year of the affiliate, one that:

- had gross receipts (including proceeds from the disposition of property) of less than **CAN**$100,000 in the year; and
- at no time in the year had assets with a total fair market value of more than **CAN**$1,000,000.

For the purpose of completing Form T1134, the definition of **gross receipts** refers to any receipt received in the year, and not just income amounts. This would include all non-revenue receipts, for example, loans. The purpose of the test is meant to indicate the level of activity in the foreign affiliate.

Instructions on application of dormancy threshold to foreign affiliates that are deemed to be controlled foreign affiliates because of either subsection 95(11) or 95(12)

For purposes of determining whether a foreign affiliate meets the criteria to be considered as "dormant" in a T1134 filing context, each one of the three (3) conditions set out above are to be applied at the legal entity level. Where a reporting entity is deemed to own shares of a separate corporation that is deemed to be a controlled foreign affiliate because of subsection 95(11), the conditions are to be applied to the actual affiliate – that is, instead of being applied to each deemed separate corporation resulting from the application of subsection 95(11).

In the event that a reporting entity directly or indirectly holds shares in more than one (1) tracking class (as defined in subsection 95(11)), total cost amount in the preceding paragraph refers to the aggregate cost amounts in respect of the reporting entity's shareholdings in each tracking class issued by the actual affiliate in question. On the same basis, the thresholds pertaining to total gross receipts and total fair market value of assets are to be applied at the actual affiliate level.

When providing information about the actual affiliate that is considered "dormant" in the table under Part I Section 3. D. Dormant foreign affiliates, please clearly identify each separate corporation in which the reporting entity is deemed to own shares in. This can be achieved by stating the name of the specific tracking class in which the reporting entity holds shares – in addition to the name of the actual affiliate.

For **a reporting entity that has short taxation years** (e.g. where there is a deemed year-end due to a change in control), reporting for more than one fiscal period (not exceeding the normal 12-month or 53-week period) on one set of T1134 Summary and T1134 Supplements is sufficient if the information that would otherwise be reported for the short taxation years is included on the T1134 return that is filed.

As an individual (other than a trust) you do not have to file Form T1134 for the year in which you first become a resident of Canada. Section 233.7 exempts an individual (other than a trust) from the requirement to file Form T1134 if the individual **first became resident** of Canada in the year. The expression "first become resident" in section 233.7 does not include a situation where a former resident of Canada becomes resident of Canada again at a later date. An individual who has already been a resident of Canada during a prior year, whether he or she was a factual resident of Canada or a deemed resident of Canada at that time, may not take advantage of the exception provided in section 233.7 when he or she becomes resident of Canada again during the year. A "returning" resident could immediately be subject to the reporting requirements of section 233.4.

Note
In determining whether a non-resident corporation is a foreign affiliate of a taxpayer resident in Canada or of a partnership for purposes of these reporting requirements, the following rules apply:

- the reference to "any corporation" in paragraph (b) of the definition of "equity percentage" in subsection 95(4) of the Act should be read as if it were a reference to "any corporation other than a corporation resident in Canada";
- the definitions "direct equity percentage" and "equity percentage" in subsection 95(4) of the Act should be read as if a partnership were a person; and
- the definitions "controlled foreign affiliate" and "foreign affiliate" in subsection 95(1) of the Act should be read as if a partnership were a taxpayer resident in Canada.

Only the lowest tier subsidiary in a group of Canadian corporations under common control has to report for its foreign affiliate. However, if another Canadian corporation in the group has a direct equity percentage in the foreign affiliate; it too is required to report for that foreign affiliate.

If a foreign affiliate is owned indirectly by a partnership through a Canadian corporation(s), only the lowest tier Canadian corporation reports for the foreign affiliate. However, if a member of the partnership also has a direct equity percentage in the foreign affiliate, it too is required to report for that foreign affiliate.

A group of reporting entities that are related to each other

For taxation years that begin after 2020, reporting entities that are members of a related group (as defined in subsection 251(4) of the Act) have the option of filing one set of T1134 Summary and T1134 Supplements in respect of all foreign affiliates that any one of its member would have otherwise been required to file T1134 returns for. For the purposes of this information return, "a group of reporting entities" refers to a group where all members are part of the same related group and who have jointly agreed to file form T1134. Note that **this option is available only if all members of the related group have the same year end**. If members of the related group have different year-end dates, then only those members that share the same year-end can file as a group. Members whose year-end dates are different from others within the related group must file their own set of T1134 Summary and Supplements separately. As well, all members of the related group must be reporting in Canadian currency or if a functional currency election has been made, must be reporting in the same functional currency in that taxation year. However, each reporting entity (as defined in subsection 233.4(1) of the Act) remains responsible for providing the correct information on each information return and for filing those on time as if each reporting entity had filed such returns. As such, each reporting entity within the related group is required to determine whether a foreign affiliate meets the criteria to be considered as a dormant affiliate for the reporting period based on that reporting entity's total cost amount in that foreign affiliate. Where a foreign affiliate fails the dormancy test in respect of any one of the members of the related group, a T1134 Supplement must then be filed for that foreign affiliate as part of the related group filing. Where penalties arise due to the late-filing or due to the provision of **false and/or incomplete** information, each reporting entity will be assessed such penalties in respect of each instance of non-compliance as if each reporting entity had filed such returns. For the purposes of this information return, a related group, will be referred to as a "related Canadian group".

Amending a T1134 return

1. Amending a T1134 return – Single entity v. Group Filing Option

Once you have filed your T1134 return for a taxation year, either as a group of related reporting entities or as one reporting entity, the filing option so adopted will remain for that taxation year. That is, no amendments can be made to a previously filed T1134 return for that year to change the filing from a group of reporting entities to one reporting entity and vice versa. Also, the composition of members of a related Canadian group that have chosen to file as a group of reporting entities will also remain for that taxation year. That is, no amendments can be made to a previously filed T1134 return for that year to increase or decrease the number of reporting entities within the related group. You may however, choose to adopt a different filing option or change the reporting entities within a related group when filing your T1134 return(s) for a subsequent taxation year.

2. Amending a T1134 return – Paper filers

If you have paper-filed your T1134 return, any amendments necessary to any information contained in the summary or in the supplements of the T1134 return will require a resubmission of the entire paper filing. DO NOT E-file amendments to paper-filed returns. This requirement applies to both single-entity filers and group filers. For purposes of these instructions, amendments include any changes to information previously provided on a summary or a supplement, the cancellation of any supplement(s) previously filed, and the addition of any new supplement(s) omitted from the original filing. Clearly identify the nature of the amendment by writing "AMENDED", "CANCELLED", or "ADDITIONAL" as appropriate at the top of each summary or supplement being amended.

Alternatively, you may detail the amendments required in a cover letter to accompany the summary or supplement(s) that are being amended. DO NOT E-file amendments to paper-filed returns. Clearly indicate the nature of the amendment by writing "AMENDED", "CANCELLED", or “ADDITIONAL” as appropriate at the top of each summary or supplement being amended.

3. Amending a T1134 return where the original T1134 return was filed electronically

If you have filed your T1134 return electronically, any amendments necessary to any information contained in the summary or the supplements of the T1134 return should also be submitted electronically. However, if you choose to amend your T1134 return by paper, you must detail the amendments required in a cover letter and follow the instructions for paper filers as described in 2 above.

Due date for filing this return

Form T1134 is due no later than 10 months after the end of your taxation year or fiscal period.

> **Note**
> The 10-month filing period is only applicable to Form T1134 filed for taxation years or fiscal periods beginning in 2021 and later.

As a transitional measure, for taxation years or fiscal periods that began in 2020, Form T1134 was due 12 months after the end of your taxation year or fiscal period.

For taxation years or fiscal periods that began in 2019 or earlier, Form T1134 was due no later than 15 months after the end of your taxation year or fiscal period.

For taxation years or fiscal periods that began before 2021, please use the previous version of Form T1134 as released on November 28, 2017.

Foreign currency conversion

Report monetary values in Canadian dollars except where an election has been made under paragraph 261(3)(b) of the Act to use a functional currency (if the election to use the functional currency is made, the currency code must be indicated on the top of page 1 of the T1134 Summary). Only certain corporations can elect to report in a functional currency. See the CRA publication Income Tax Folio S5-F4-C1, Income Tax Reporting Currency, at: **canada.ca/cra-income-tax-reporting-currency**. The alphabetic codes for functional currencies are as follows:

AUD - For Australian dollar
USD - For U.S. dollar
GBP - For U.K. pound
EUR - For Euro

Where a monetary value is not stated in Canadian dollars or the elected functional currency (i.e.: it is an amount obtained from the foreign affiliate's financial information), the currency code in which the value is reported must be indicated in the space provided in section 3 of Part II and Part III of the form.

A nil amount should be reported by indicating "0" (zero) in the "amount" field rather than leaving the field empty. For the list of currency codes go to **canada.ca/cra-currency-codes**.

When converting amounts into Canadian dollars from a foreign currency, you should use the exchange rate in effect at the time of the transaction (e.g., the time the income was received). If income is received throughout the year, we will accept an average rate for the year.

Where you are required to provide an amount at the beginning or at the end of the year, you may use the exchange rate in effect at the relevant time.

Country Codes

For the list of country codes go to **canada.ca/cra-country-codes**.

More Information

If you need more information, go to **canada.ca/taxes** or call **1-800-959-5525** for business enquiries, or **1-800-959-8281** for individual enquiries. You can also write to your local tax services office (TSO). TSO addresses and fax numbers can be found at **canada.ca/cra-tso-contact-information**.

How to complete the T1134 Summary

Is this T1134 Summary filed for 1 reporting entity or a group of reporting entities that are related to each other?

As noted earlier for taxation years that begin after 2020, reporting entities that are members of a related Canadian group have the option of filing one set of T1134 Summary and T1134 Supplements in respect of all foreign affiliates that any one of its members would have otherwise been required to file T1134 returns for if certain conditions are met. Please indicate whether this T1134 Summary is filed for a single reporting entity or a group of reporting entities by checking off the appropriate box.

Part I – Identification

Section 1 – Reporting entity information

Identify the reporting entity by checking the appropriate box to indicate who you are reporting for and provide the name and account number in the areas that apply. For partnership code, check the appropriate box as follows:

1 - If end partners are individuals or trusts
2 - If end partners are corporations
3 - If end partners are a combination of 1 and 2 mentioned above

State the main business activities of the reporting entity by entering the appropriate North American Industrial Classification System (NAICS) codes. The current NAICS codes can be found at Statistics Canada internet site, **www23.statcan.gc.ca/imdb/p3VD.pl?Function=getVD&TVD=1181553**. You can enter more than one code.

Section 2 – Certification

This area must be completed and signed by:

- the person filing this return in the case of an individual
- an authorized officer in the case of a corporation
- the trustee, executor, or administrator where the person filing the return is a trust; or
- an authorized partner in the case of a partnership

Section 3 – Organizational Structure

If a group of related reporting entities chooses to file as a group, information required under Section 3 only needs to be provided once.

A. Group of reporting entities that are related to each other.
If the reporting entity is filing as a related group, provide the name, mailing address, account number for each Canadian member of the related group on whose behalf this information is filed for in the appropriate tables i) individuals, ii) corporations, iii) trusts, and iv) partnerships. **With the exception of individuals that are members of that related group, provide the NAICS code(s) that reflects the member entity's business activities in the applicable column(s)**. If the reporting entity is only reporting for itself, then proceed to B. Other information.

B. Other information
Indicate whether the reporting entity or any member of the related Canadian group (if applicable) was involved in transactions to which any of section 85, subsection 85.1(3), section 86.1, section 87, and subsection 88(1) applies during the year by checking off all applicable boxes.

C. Organizational Chart
You can satisfy the requirements in C (i) through (iv) by submitting a group organizational chart. If you choose to fulfill the information requirement by providing a chart, please ensure that the chart clearly depicts the following: 1) the identity (i.e., name) of each entity within the group (both Canadian and foreign entities), 2) country of residence of each entity, and 3) ownership interest (expressed in percentage) that each entity holds in other entities within the group.

If you are submitting an organizational chart AND a T1134 Supplement will not be filed in respect of a foreign affiliate within the group due to the dormancy threshold (as defined in these instructions), identify each dormant affiliate in Part D and provide the requisite information accordingly.

If you are submitting an organizational chart AND a reporting entity is a partnership, identify the partners and provide each partner's country of residence on the chart.

Taxpayer Identification Number: enter the taxpayer identification number used by the tax administration of the tax jurisdiction of the foreign affiliate.

For the list of country codes go to **canada.ca/cra-country-codes**.

Equity percentage and direct equity percentage are defined in subsection 95(4) of the Act.

Refer to "Do you have to file this return" instructions above, to determine if the threshold for dormancy is met.

D. Dormant foreign affiliates
For dormant foreign affiliates where a T1134 Supplement has not been filed, provide the following: 1) the name of the foreign affiliate; 2) the Canadian reporting entity's investment in the dormant affiliate as expressed in its total cost amount. If more than one reporting entity within the related Canadian group (if applicable) hold ownership interest in the dormant affiliate, use the cost amount of the reporting entity whose ownership interest carries the highest adjusted cost base in relation to other members of the related Canadian group; 3) gross receipts and gross revenue of that dormant affiliate in the year; and 4) the nature of the assets held by the foreign affiliate by checking all appropriate boxes. Note that the asset categories in this table D correspond to those required on T1135; refer to the Instructions to Form T1135 for detailed description of each asset category.

Note that source data used to respond to this table D. Dormant foreign affiliate forms part of each reporting entity's books and records. Please refer to Information Circular, IC-77-9R, Books, Records and Other Requirements for Taxpayers Having Foreign Affiliates (June 22, 1983) at **canada.ca/cra-ic77-9r**, for details on your responsibility to maintain and make available such records.

E. Lower-tier non-controlled foreign affiliates
Identify each non-controlled foreign affiliate that is held indirectly through one or more non-controlled foreign affiliate(s) in this table. Indicate whether each one was involved in the transactions and/or events described by checking the applicable boxes.

How to complete the T1134 Supplement

Part II – Foreign affiliate information

Section 1 – Foreign affiliate information

A. Identification of foreign affiliate
Identify the foreign affiliate for which this return is being filed.

If the T1134 Supplement is filed in respect of a separate corporation as determined in subsection 95(11) of the Act, please indicate the name of the specific tracking class you are providing information on – in addition to the name of the actual affiliate – as part of the "Name" of the foreign affiliate.

For the purpose of this return, residence generally means where the foreign affiliate's central management and control is located.

State the main business activities of the foreign affiliate by entering the appropriate North American Industrial Classification System (NAICS) codes. The current NAICS codes can be found at Statistics Canada internet site, **www23.statcan.gc.ca/imdb/p3VD.pl?Function=getVD&TVD=1181553**. You can enter more than one code.

For the list of country and currency codes go to **canada.ca/cra-country-codes** and **canada.ca/cra-currency-codes.**

If a foreign affiliate has more than one tax year ending in the reporting entity's tax year, separate T1134 Supplement(s) must be filed in respect of each one of that foreign affiliate's tax years.

B. Capital stock of foreign affiliate

i) Directly owned foreign affiliates:
If the reporting entity is only filing for itself and it is a direct shareholder of the foreign affiliate, then provide the reporting entity's name, account number and additional information requested. If the reporting entity is filing on behalf of a related Canadian group, then identify each member within the related Canadian group that is a direct shareholder of the foreign affiliate and provide their name, account number and additional information requested.

ii) Common Shares
For the reporting entity or any member of the related Canadian group (if applicable) that has a direct ownership in the foreign affiliate, provide the entity's ownership percentage and the total adjusted cost base (ACB) of the common shares of the foreign affiliate's capital stock. ACB has the meaning assigned by section 54. Also indicate whether the ACB has increased and/or decreased during the year by checking off the applicable box(es). If more than one class of common shares are issued in the foreign affiliate's capital stock, then add all common share classes held by the entity to determine the ACB of the common shares.

iii) Preferred Shares
For the reporting entity or any member of the related Canadian group (if applicable) that has a direct ownership in the foreign affiliate, provide the entity's ownership percentage and the total adjusted cost base (ACB) of the preferred shares of the foreign affiliate's capital stock. ACB has the meaning assigned by section 54. Also indicate whether the ACB has increased and/or decreased during the year by checking off the applicable box(es). If more than one class of preferred shares are issued in the foreign affiliate's capital stock, then add all preferred share classes held by the entity to determine the ACB of the preferred shares.

iv) Indirectly owned foreign affiliates
If the reporting entity or any member of the related Canadian group (if applicable) does not directly own an interest in the foreign affiliate but is required to file a T1134 for a foreign affiliate in respect of which an interest is directly owned by a controlled foreign affiliate, then provide the reporting entity's or any member of the related Canadian group's (if applicable) name and account number.

C. Other Information
Provide additional information about your interest in the foreign affiliate. For the purposes of completing this return, gross indebtedness does not include set-offs or trade accounts payable.

D. Foreign Affiliate Dumping Rules
Indicate whether the reporting entity or any member of the related Canadian group (if applicable) was involved in a transaction(s) to which section 212.3 applies by answering these questions.

Section 2 – Financial information of the foreign affiliate

Include the unconsolidated financial statements (including the notes to the financial statements) for a foreign affiliate that is a controlled foreign affiliate of the reporting entity or a foreign affiliate that the reporting entity owns, directly or indirectly, shares representing at least a 20% voting right. The unconsolidated financial statements must be included with the T1134 form at the time of filing subject to the due diligence exception in section 233.5 of the Act. The onus is on the reporting entity to demonstrate that the due diligence exception in section 233.5 of the Act applies for any unconsolidated financial statements that are not included with the T1134 return at the time of filing. A reporting entity must file the unconsolidated financial statements not more than 90 days after they become available.

Requirement for unconsolidated financial statements - tracking interests

Where a reporting entity (or any member of the related Canadian group, if applicable) is deemed to own shares of a separate corporation that is a controlled foreign affiliate because of subsection 95(11), you are required to provide unconsolidated financial statements (including the notes to the financial statements) in respect of each such separate corporation. If a reporting entity directly or indirectly holds shares in more than one tracking class issued by the same actual affiliate, it is required to provide separate unconsolidated financial statements for each deemed separate corporation as determined by subsection 95(11). Unless the actual affiliate meets the conditions to be considered as dormant for purposes of T1134 filing, you also need to provide unconsolidated financial statements (including notes to the financial statements) in respect of the legal entity that is the actual affiliate.

Section 3 – Surplus accounts

A. Surplus accounts of foreign affiliates

Provide information about any dividends that the reporting entity or any member of the related Canadian group (if applicable) received from the foreign affiliate and information about the foreign affiliate's surplus accounts, including election(s) made during the year that has affected how surplus distributions have been accounted for. Where a foreign affiliate has paid dividends during the year, provide the amount of cash dividends, value of dividends in kind and/or stock dividends paid in Canadian dollars or elected functional currency, if applicable. Also, provide information on the application of the upstream loan rules.

B. Surplus accounts and share transactions

This part of Section 3 applies to controlled foreign affiliates only. Provide information about any events that have affected the controlled foreign affiliate's surplus accounts by checking off all applicable boxes and identifying the reporting entity(-ies) involved.

Part III – Nature of Income of "controlled" foreign affiliates

Part III applies to a controlled foreign affiliate (CFA) only. Do not complete this part for non-controlled foreign affiliates.

Section 1 – Employees

Provide the number of full-time employees or employee equivalents employed by the CFA. Also, indicate whether the CFA relied on services provided by employees of other entities described in subparagraph (c)(ii) of the definition, "investment business", in subsection 95(1) of the Act.

Section 2 – Composition of revenue

Provide the amount of the CFA's gross revenue (rounded to the nearest thousand) from the sources listed.

Section 3 – Foreign accrual property income (FAPI), foreign accrual property loss (FAPL), or foreign accrual capital loss (FACL)

Provide information about the gross foreign accrual property income (FAPI) earned, or foreign accrual property loss (FAPL) and foreign accrual capital loss (FACL) incurred by the foreign affiliate (FA). The gross amount of FAPI earned or FAPL and FACL incurred by the foreign affiliate (rounded to the nearest thousand) should represent 100% of such amounts generated by the FA, without taking into consideration the participating percentage of the reporting entity. This section does not include the subsection 91(4) deduction available (amounts deductible in respect of foreign taxes). Provide information about capital gains and losses realized by the foreign affiliate.

Section 4 – Income included in income from an active business

Provide information about the income of the foreign affiliate that has been re-characterized as income from an active business or otherwise not accounted for as FAPI pursuant to various provisions in section 95 of the Act.

Part IV – Disclosure

Part IV is applicable to both non-controlled and controlled foreign affiliates. State whether any of the information requested on this return is not available at the time of filing. If information is not available, specify what information is not available and why it is not available. Also explain what steps were taken to obtain the information.

Due diligence exception

The information required to be filed on this return does not include information that is not available, on the day that the return is filed, to the person or partnership required to file the return where:

a) there is reasonable disclosure in the return of the unavailability of the information;

b) before that day, the person or partnership exercised due diligence in attempting to obtain the information;

c) it was reasonable to expect, at the time of each transaction, if any, entered into by the person or partnership after March 5, 1996, that gives rise to the requirement to file the return or that affects the information to be reported in the return, that sufficient information would be available to the person or partnership to comply with the reporting requirements; and

d) if the information subsequently becomes available to the person or partnership, it will be filed no more than 90 days after it becomes available.

Filing this return

Unless a reporting entity is a member of a related Canadian group that chooses to file as a group, each reporting entity must file one T1134 Summary and separate T1134 Supplements for each foreign affiliate. When filing the T1134 forms, each reporting entity must also include the financial statements and the notes to the financial statements for each controlled foreign affiliate as well as each foreign affiliate in respect of which the reporting entity holds 20% or more of the voting interest.

Where reporting entities that are members of a related Canadian group choose to file as a group, only one set of T1134 Summary and T1134 Supplements need to be filed. In that case, the reporting entity that is filing the information returns on behalf of the group will also need to provide the financial statements, including notes to the financial statements, of each of the foreign affiliates in respect of which any members of the group holds 20% or more of the voting interest when filing the forms.

If you are using the online PDF fillable/savable version of Form T1134, Information Return Relating to Controlled and Non-Controlled Foreign Affiliates, you will be provided with up to twenty (20) supplements. If you are required to report on more than twenty (20) foreign affiliates and/or controlled foreign affiliates, you can use the T1134-1 Supplement Package to access additional supplements.

Partnerships can Efile and Netfile the T1134 forms electronically for the 2017 and later fiscal periods as of May 13, 2019. Corporations can Efile the T1134 forms electronically for the 2015 and later taxations years as of May 15, 2017. Individuals can Efile and Netfile the T1134 forms electronically for the 2021 and later taxation years as of February 7, 2022. By filing electronically, you will receive a confirmation number at once to tell you that the Canada Revenue Agency (CRA) has received your form(s). For reporting entities that are individuals and trusts, a paper copy of this form must be filed separately from your income tax return.

Before you file this return, make a copy of it for your records.

For paper filers, please send the original return, amended return, or any additional information to:

Winnipeg Taxation Centre
Data Assessment & Evaluation Programs
Validation & Verification Section
Foreign Reporting Returns
66 Stapon Road
Winnipeg MB R3C 3M2

Penalties for non-reporting

There are substantial penalties for failing to complete and file this return accurately by the due date pursuant to section 162 and section 163 of the Act. Furthermore, while related Canadian groups can choose to file one set of T1134 returns for the group (provided all members of the related Canadian group have the same year end and are using the same currency for tax reporting), for penalty application purposes, each reporting entity remains responsible for non-filing for all of its foreign affiliates (other than dormant or inactive foreign affiliates) and for not providing the **correct and complete** information on the return. Penalties will be applied to each reporting entity as if that entity filed the returns on its own and therefore, multiple penalties will apply to each Canadian shareholder of a foreign affiliate if any supplement is not accurate or is not filed.

Voluntary disclosures

To promote compliance with Canada's tax laws, we encourage you to correct any previous errors or omissions in your tax affairs through the Voluntary Disclosures Program (VDP).

For more information about the VDP's requirements and to access the application form go to: **canada.ca/taxes-voluntary-disclosures**.